

to sell a security immediately if it ever incurs a 10 percent loss. However, it's best to consider an investment's normal, expected levels of volatility when devising a stop-loss rule. You don't want to be forced to sell if an investment's price is just exhibiting its customary ups and downs.

Take the money and run. Loss aversion can cause investors to sell winning positions too early, fearing that their profits will evaporate otherwise. This behavior limits the upside potential of a portfolio and can lead to overtrading (which also reduces returns). Just as stop-loss rules can help to combat get-even-itis, it is often helpful to institute rules for selling appreciating investments. As with stop-loss rules, price-appreciation rules work best when tailored to reflect details related to fundamentals and valuation. The goal is to let gains run. Remember, too, that in a taxable account, you should avoid paying taxes on appreciations as long as possible.

Taking on excessive risk. Loss aversion can cause investors to hold onto losing investments even in companies that are in serious trouble. In such a case, it may be helpful to educate clients about an investment's risk profile—taking time to discuss items like standard deviation, credit rating, buy/sell/hold ratings, and so on. The investor will then, hopefully, make the right decision to protect the overall portfolio and jettison the risky, poorly performing investment.

Unbalanced portfolios. Loss aversion can cause investors to hold unbalanced portfolios. Education about the benefits of asset allocation and diversification is critical, yet it may be insufficient if an investor holds a concentrated stock position with emotional strings attached. A useful question in this situation is: "If you didn't own any XYZ stock today, would you still want to pick up as many shares as you own right now?" If and when the answer is "no," some leeway for maneuvering emerges. Tax considerations, such as low cost basis, sometimes factor in, but certain strategies can be employed to manage this cost.

NOTES

1. Daniel Kahneman and Amos Tversky, "Prospect Theory: An Analysis of Decision under Risk," *Econometrica* 47 (1979): 263–291.
2. Hersh Shefrin and Meir Statman, "The Disposition to Sell Winners Too Early and Ride Losers Too Long: Theory and Evidence," *Journal of Finance* 40 (1985): 77–90.